(4) the recognition that a settlor should pay less in settlement than he would if he were found liable after a trial;

(5) the financial conditions and insurance limits of settling defendants; and,

(6) the existence of fraud, collusion, or tortious conduct aimed to injure the interests of nonsettling defendants.

(*Tech-Bilt,* supra, 38 Cal.3d at 499.)

A settlor's percentage of liability is the touchstone question to be considered in a contested good faith settlement proceeding. (*City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1262-1264 The settling party must present sufficient admissible evidence that will allow the Court to evaluate the settlement in terms of the factors contemplated by *Tech-Bilt*. (*Id.* at 1263.)

The party asserting the lack of good faith has the burden of proving "that the settlement is so far 'out of the ballpark' in relation to the factors [noted above] as to be inconsistent with the equitable objectives of the statute." (*Tech-Bilt*, supra, 38 Cal.3d at 499-500.)

Analysis

Defendant Salas has agreed to pay Plaintiff the amount of $2,325,000.00, which is the balance of his insurance policy limits applicable to this incident. In exchange, Plaintiff will dismiss the current action against Defendant Salas and fully release of all claims related to the accident.

Defendant presents evidence that on September 25, 2025, Plaintiff served non-settling defendant Tesla with a Code of Civil Procedure section 998 offer of settlement in the amount of $1,250,000.00. (Streza Decl. Ex. E.) Thus, even if Plaintiff were to obtain the full amount it is seeking from Tesla, the total amount Plaintiff is seeking would total $3,575,000. Accordingly, Defendant Salas' settlement payment represents over 65% of the settlement value of Plaintiff's claims. The Motion and Declaration in Support also outline the particulars of the case and explain the parties' various positions and potential for liability.

If a motion for good faith determination is unopposed, a "barebones motion which sets forth the ground of good faith, accompanied by a declaration which sets forth a brief background of the case is sufficient." (*City of Grand Terrace*, supra, 192 Cal.App.3d at 1261.) The Court finds there is sufficient information to determine that the settlement has been made in good faith.

Conclusion

Defendant Salas' Motion for Determination of Good Faith Settlement is **GRANTED**.

2. 9:00 AM CASE NUMBER: C24-00851
CASE NAME: DANIEL COSTA VS. FADIA SAADEH
***HEARING ON MOTION IN RE: JUDGMENT ON THE PLEADINGS**
FILED BY:
<u>*TENTATIVE RULING:*</u>

Before the Court is a motion for judgment on the pleadings ("Motion") filed by defendants Fadia Saadeh, Patrick Ward, Country Equestrians LLC, and Dig This, Inc., ("Defendants"). The Motion argues that the alter ego allegations are insufficient, and that the first cause of action (promissory fraud), third cause of action (breach of contract), sixth cause of action (Bus. & Prof. Code § 17200), eighth cause of action [disgorgement, Bus. & Prof. Code § 7031, subd. (b)], and tenth cause of action (claim against contractor and other bonds), fail to state facts sufficient to constitute causes of action.

For the reasons discussed below, the Court's ruling is to GRANT Defendants' motion for judgment on the pleadings as to the first cause of action for promissory fraud, as to Dig This, Inc. only, with leave to amend, and as to the eighth cause of action for Business and Professions Code section 7031(b) recovery, as to Country Equestrian LLC only, with leave to amend. The Court DENIES Defendants' motion for judgment on the pleadings as to the remaining causes of action.

Plaintiffs may file and serve an amended complaint within 30 days of notice of entry of this order. (Code Civ. Proc. § 438(h)(2).)

Meet and Confer

The meet and confer requirement has been satisfied. (Dylan Yale Fukai Decl., ¶¶ 3-5, Exhs. A-B; Code Civ. Proc. § 439(a)(3)(A).)

Legal Standard for Motion for Judgment on the Pleadings

Code of Civil Procedure section 438 permits a defendant to move for judgment on the pleadings on the ground that the complaint does not state facts sufficient to constitute a cause of action against the defendant. (Code Civ. Proc. § 438(b)(1), (c)(1)(B)(ii), and (c)(2)(A); *Stoops v. Abbassi* (2002) 100 Cal.App.4th 644, 650 ["Such motion may be made on the same ground as those supporting a general demurrer, i.e., that the pleading at issue fails to state facts sufficient to constitute a legally cognizable claim or defense. [Citation omitted.]"].) (*See also Connerly v. Schwarzenegger* (2007) 146 Cal.App.4th 739, 746 [" 'A motion for judgment on the pleadings is the equivalent of a demurrer made after the pleadings are in.' [Citation omitted.]"].) A motion for judgment on the pleading may also be made to the complaint in its entirety. (Code Civ. Proc. § 438(c)(2)(A).)

The legal standards for determination of a motion for judgment on the pleadings are similar to the standards for determination of a demurrer. (*Eckler v. Neutrogena Corp.* (2015) 238 Cal.App.4th 433, 439.) The basis for judgment on the pleadings "shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice." (Code Civ. Proc. § 438, subd. (d).) As in the case of a demurrer, the Court accepts all factual allegations of the complaint and "gives them a liberal construction." (*Gerawan Farming, Inc. v. Lyon* (2000) 24 Cal.4th 468, 515-516.)

Consistent with the rules for determination of a demurrer, a motion for judgment on the pleadings must fully dispose of the challenged cause of action. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.) Further, "If the motion for judgment on the pleadings is granted, leave to amend must be granted unless the defect cannot be cured by amendment." (*Hudson v. County of Los Angeles* (2014) 232 Cal.App.4th 392, 408.)

Request for Judicial Notice

Defendants request the Court to take judicial notice of 7 documents pursuant to Evidence Code section 452, subdivision (h), which provides that "Judicial notice may be taken of . . . . Facts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy."

Defendant specifically asks the Court to take judicial notice of the following:

1. The CSLB's License Detail for License # 742485 (Dig This Inc), https://www.cslb.ca.gov/OnlineServices/CheckLicenseII/LicenseDetail.aspx?LicNum=742485;
2. The Grant Deed for 1330 Castle Rock Road, Walnut Creek, California 94598, dated December 15, 2020;
3. The Quitclaim Deed for 1330 Castle Rock Road, Walnut Creek, California 94598, dated December 18, 2020.;
4. The Grant Deed for 1330 Castle Rock Road, Walnut Creek, California 94598, dated December 8, 2022;
5. The Articles of Organization for Country Equestrian LLC filed with the California Secretary of State;
6. Statements of Information for Country Equestrian LLC filed with the California Secretary of State;
7. The History of Dig This, Inc. with the California Secretary of State, https://bizfileonline.sos.ca.gov/search/business.

"Subdivision (h) provides for judicial notice of indisputable facts immediately ascertainable by reference to sources of reasonably indisputable accuracy. In other words, the facts need not be actually known if they are readily ascertainable and indisputable. Sources of 'reasonably indisputable accuracy' include not only treatises, encyclopedias, almanacs, and the like, but also persons learned in the subject matter." (Evid. Code § 452, Law Revision Commission Comments.)

The Court cannot take judicial notice of requests 1 through 7 under Evidence Code section 452, subdivision (h), because none of those documents are "capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy." Defendants do not explain how the requests qualify as being judicially noticeable under Evidence Code section 452, subdivision (h), however, the Court presumes that this is because the documents may be accessible via the internet.

Being available on the internet is insufficient to allow for judicial notice to be taken of something under subdivision (h). "Simply because information is on the Internet does not mean that it is not reasonably subject to dispute." (*Huitt v. Southern California Gas Co.* (2010) 188 Cal.App.4th 1586, 1605, fn. 10.) "[A]lthough it might be appropriate to take judicial notice of *the existence* of the Web sites, the same is not true of their factual content." (*Searles Valley Minerals Operations, Inc. v. State Bd. of Equalization* (2008) 160 Cal.App.4th 514, 519 ["although public documents may be proper subjects for judicial notice, the truth of the matters stated in such documents is not."]; *Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, 889 ["we know of no 'official Web site' provision for judicial notice in California"], questioned on other grounds.)

Despite being unable to take judicial notice pursuant to Evidence Code section 452, subdivision (h), the Court may take judicial notice of the request nos. 2 through 4, via subdivision (c), as *Ragland v U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, provides that "[a] recorded deed is an official act of the executive branch, of which this court may take judicial notice," under Evidence Code section 452(c). (*Id*., at p. 194.) For request nos. 1, 5,6, and 7, judicial notice may also be taken pursuant to Evidence Code section 452, subdivision (c). (*Belen v. Ryan Seacrest Productions, LLC* (2021) 65 Cal.App.5th 1145, 1160, fn. 2 ["a statement filed with the Secretary of State becomes a document of which a court can properly take judicial notice" under section 452, subdivision (c)]; but see *Stevens v. Superior Court* (1999) 75 Cal.App.4th 594, 607-608 ["Papers filed with state and federal agencies, including the Department of Insurance, do not fall within the ambit of subdivision (c) of section 452 of the Evidence Code."].)

The Court grants Defendants' requests for judicial notice nos. 1-7. However, as the truth of the contents of the judicially noticed documents is subject to dispute, the Court limits the judicial notice to the existence of the documents and not the truth of all the matters stated therein.
"Taking judicial notice of a document is not the same as accepting the truth of its contents or accepting a particular interpretation of its meaning. [Citation.] On a demurrer a court's function is limited to testing the legal sufficiency of the complaint. [Citation.] 'A demurrer is simply not the appropriate procedure for determining the truth of disputed facts.' [Citation.] The hearing on demurrer may not be turned into a contested evidentiary hearing through the guise of having the court take judicial notice of documents whose truthfulness or proper interpretation are disputable." (*Fremont Indemnity Co. v. Fremont General Corp*. (2007) 148 Cal.App.4th 97, 113-114.)

Defendants' requests for judicial notice are granted, subject to the limitations described above.

Background: Facts Alleged in Complaint

Plaintiffs allege that in early July 2021, they orally contracted with defendants Saadeh, Ward, and Country Equestrians for them to provide Plaintiffs horse boarding, maintenance and care services for Plaintiffs' horses. (Complaint, ¶ 17.) Plaintiffs paid approximately $6,000 per month for the horse boarding, maintenance, and care services. (*Id*., at ¶ 19.) Plaintiffs subsequently were solicited and induced and thereafter entered into another oral agreement with Saadeh, Ward, and Country Equestrians, in which Plaintiffs would pay contractors and advance the costs of construction for a delipidated barn, to reconstruct it into a new 5-stall horse care facility, which would be used exclusively for Plaintiffs' horses. Plaintiffs would continue to be charged for boarding their horses, but they were to get a $5,000 per month credit against such boarding, maintenance, and care services, until Plaintiffs were reimbursed in full.

Plaintiffs allege that on October 27, 2021, during a meeting between Plaintiffs and defendants Saadeh, Ward, and Country Equestrians, that this promise was repeated, reiterated, and ratified, although Plaintiffs allege that defendants Saadeh, Ward, and Country Equestrians had no intention of fully and honestly performing. (Complaint, ¶ 21.) Between November 27, 2021, and May 2022, Plaintiffs ended up spending in excess of $265,632 "to reconstruct the old dilapidated barn into the new 5-stall facility (with associated new tack, wash and storage space), including at least $12,980.00 Plaintiffs paid directly to Defendants Saadeh, Ward and Dig This, Inc and including at least $252,652.00 Plaintiffs paid to contractors previously engaged by Defendants Saadeh, Ward, and Country Equestrians to renovate and improve the Country Equestrians Client Lounge and office adjacent to the old dilapidated barn." (*Id*., at ¶ 25.)

On March 29, 2022, at a meeting, Defendants were to provide the long promised written contract for the barn construction and renovation, but instead they repudiated and refused to provide a written contract and further stated that would not provide the monthly credit of $5,000, and also that Plaintiffs would need to pay $12,000 per month to rent the new 5-stall facility. (Complaint, ¶29.)

Plaintiffs filed the instant Complaint on March 28, 2024.

Discussion

The Individuality of the Defendants

Defendants argue that the Complaint ignores the individuality of each of the Defendants and makes improper joint liability and alter ego allegations, which Defendants refer to as boiler-plate. (MPA ISO MJOP, pp. 8-10.) Part of this relies on the requests for judicial notice and taking the information from them as true. However, judicial notice has been granted as to the existence of the documents, but not to the truth of the matter asserted in them, so the Defendants' reliance on the truth of the contents of those documents does not help in this situation.

Further, the Court finds that the alter-ego allegations found in paragraphs 10 to 16 (especially paragraph 14) are sufficiently alleged.

Insofar as this argument seeks to remove Ward from the fourth cause of action for good faith improver under CCP § 871.1, and remove Saadeh, Ward, and Country Equestrian from the sixth cause of action violation of Business and Professions Code section 17200 *et seq*., and remove Saadeh, Ward, and Country Equestrian from the eighth cause of action for violation of Bus. & Prof. Code § 7031, subd. (b), the court DENIES Defendants' motion for judgment on the pleadings as to these arguments.

First Cause of Action for Promissory Fraud

Defendants argue that the promissory fraud claim against Dig This Inc. is not pled with the proper heightened specificity for a fraud claim. (MPA ISO MJOP, pp. 10-11.) Plaintiffs argue that they have pled all the requisite elements for promissory fraud. (Amended MPA ISO Opposition, pp 11-12.) Defendants point out that Plaintiffs did not properly support the fraud claim as to Dig This Inc., and the allegations relating to fraud as to Dig This Inc. are not specific enough. (Amended Reply, p. 7.)

When pleading a fraud cause of action, the pleading must contain "facts which show how, when, where, to whom, and by what means the representations were tendered." (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) If pled against a corporate defendant, like Dig This, Inc., a plaintiff must allege "the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written." (*Tarmann v. State Farm Mut. Auto. Ins. Co*. (1991) 2 Cal.App.4th 153, 157.)

The Court finds the allegations relating to fraud as to Dig This, Inc. and its contractors license are insufficiently pled as to the requisite details as laid out in *Lazar* and *Tarmann*.

The Court GRANTS Defendants' motion for judgment on the pleadings as to Plaintiffs' first cause of action for promissory fraud, as to Dig This, Inc. only, with leave to amend.

Third Cause of Action for Breach of Contract

Defendants argue that Plaintiffs' breach of contract cause of action fails because (1) the Complaint does not allege the project was completed; and (2) the oral contract is invalid because of the statute of frauds requirement that contracts unable to be performed in one year must be in writing. (MPA ISO MJOP, pp. 12-13.) Plaintiff's amended opposition does not address this argument, but their original opposition argues that Defendants' statute of frauds argument fails due to the part performance doctrine and because Defendants plead the same oral contract in their cross-complaint. (MPA ISO Opposition, pp. 12-14.) On Reply, Defendants argue that Plaintiffs' amended opposition does not address this cause of action and that Plaintiffs were to be reimbursed via monthly credits upon occupancy of the newly constructed barn, and that the project was only approaching completion when Plaintiffs vacated the property and abandoned the job, meaning they have not fully performed all of their obligations, making this claim insufficiently pled. (Amended Reply, p. 8.)

"To be entitled to damages for breach of contract, a plaintiff must plead and prove (1) a contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) damage to plaintiff." (*Walsh v. West Valley Mission Community College Dist*. (1998) 66 Cal.App.4th 1532, 1545.) Here, Plaintiffs do not need to plead full performance because by alleging that Defendants withdrew from their obligations under the oral agreement on March 29, 2022 (Complaint, ¶29), they have pled an excuse for nonperformance in that Defendants made an anticipatory repudiation when they made the March 29, 2022 representations that they would not be performing in accordance with the oral contract. (*Daum v. Superior Court of Sutter County* (1964) 228 Cal.App.2d 283, 287-288 ["Strictly speaking, a total breach of a contract may arise in two ways, which, although different, have been frequently confused with each other. One is an anticipatory breach, or as it may be termed, a breach by anticipatory repudiation, which is necessarily total, and which is of importance both with relation to an excuse for nonperformance by the promisee, the repudiation being by the promisor, and the right of the promisee to recover damages immediately for a total breach of the contract before performance by the promisor is due thereunder. By its very name an essential element of a true anticipatory breach of a contract is that the repudiation by the promisor occur before his performance is due under the contract. . . . A contract is totally breached and an anticipatory repudiation occurs when the promisor without justification and before he has committed a breach, makes a positive statement to the promisee indicating that he will not or cannot substantially perform his contractual duties."].)

With respect to Defendants' argument that this claim is barred by the statute of frauds, this argument fails because "where assertion of the statute of frauds would cause unconscionable injury, part performance allows specific enforcement of a contract that lacks the requisite writing." (*In re Marriage of Benson* (2005) 36 Cal.4th 1096, 1108.) Here, Plaintiffs' payment of over $265,000 in reliance on the oral contract satisfies this exception to the statute of frauds. (Complaint, ¶ 25.)

The Court DENIES Defendants' motion for judgment on the pleadings as to the third cause of action for breach of contract.

Sixth Cause of Action for Violation of California's Unfair Competition Law - Business and Professions Code Section 17200 et seq.

Defendants argue that this cause of action is not adequately pled because it is not pled with the requisite particularity, seeks damages that exceed the scope of the alleged violation, and only alleges bare recitals of legal conclusions. (MPA ISO MJOP, pp. 14-16.) Plaintiffs argue that they properly pled this claim by pleading all its requisite elements and that the claim is properly pled against Dig This Inc. because of the unlicensed contractor allegations. (Amended MPA ISO Opposition, pp. 12-13.) Defendants assert on reply that Plaintiffs base this entire claim on the allegations of Dig This Inc. not being a licensed contractor and that this claim fails because the other claims against Dig This Inc. fail. (Amended Reply, pp. 8-9.)

The Court reads paragraph 66 of the Complaint more broadly than Defendants. Paragraph 66 alleges that "Defendants Saadeh, Ward, Country Equestrians, Dig This, Inc . . . have and are continuing to engage in numerous illegal business practices that constitute unlawful and/or unfair and/or fraudulent business acts and/or practices . . . including, but not limited to, obtaining monies from their business clients through false promises and misrepresentations that Defendant Dig This, Inc was at all times a duly licensed contractor and that their contractor services would be provided in full compliance with the provisions of the California contractor licensing and contractor laws codified in Cal. Bus. & Prof. Code § 7000 et seq." The Court finds that this paragraph alleges that Saadeh, Ward, Country Equestrians are the ones that are alleged to be "obtaining monies from their business clients through false promises," and that the allegations against Dig This Inc. begin following that allegation, "and misrepresentations that Defendant Dig This, Inc was at all times a duly licensed contractor and that their contractor services would be provided in full compliance with the provisions of the California contractor licensing and contractor laws codified in Cal. Bus. & Prof. Code § 7000 et seq." This is required as the Court must give Plaintiffs' allegations a liberal construction. (*Gerawan Farming, Inc. v. Lyon* (2000) 24 Cal.4th 468, 515-516.)

"By proscribing 'any unlawful' business act or practice (*ibid*.), the UCL 'borrows' rules set out in other laws and makes violations of those rules independently actionable. (*Zhang v. Superior Court* (2013) 57 Cal.4th 364, 370.) Here, as the promissory fraud claim is properly alleged against Saadeh, Ward, Country Equestrians and the Section 7031(b) claim is properly alleged against Dig This Inc., the UCL claim is also properly pled.

The Court DENIES Defendants' motion for judgment on the pleadings as to the sixth cause of action for violation of the UCL

<u>Eighth Cause of Action for Recovery Under Business & Professions Code § 7031(b)</u>

Defendants argue that Plaintiffs' Business and Professions Code, section 7031, subdivision (b), claim fails because Plaintiffs do not allege when they paid Dig This, Inc. for its services. (MPA ISO MJOP, pp. 17-18.) They also argue that Dig This Inc.'s license was only suspended for 30 days during the project for not filing a statement of information with the Secretary of State. (*Ibid*.) Defendants also argue that the Complaint fails to allege the work Dig This Inc., performed as Section 7031 only applies where a license is required. (*Id*., at p. 17.) Finally, Defendants argue that there is no basis alleged in the Complaint to include Saadeh, Ward, and Country Equestrian in this cause of action. (*Ibid*.) Plaintiffs argue that *Alatriste v. Cesar's Exterior Designs, Inc*. (2010) 183 Cal.App.4th 656, 670, has held that even if the contractor held a valid license at some time during the project, the claimant may recover all monies paid during the construction and that Ward and Saadeh are proper because payments were made directly to them and they were managing officers of Dig This Inc. (Amended MPA ISO Opposition, pp. 13-15.) On reply, Defendants argue that Plaintiffs failed to identify the work Dig This Inc. performed and whether a contractor's license was required. (Amended Reply, pp. 9-10.) They also argue that there is no reason for Saadeh, Ward, and Country Equestrian to be included in this cause of action. (*Ibid*.)

Business and Professions Code, section 7031, subdivision (b), provides that "a person who utilizes the services of an unlicensed contractor may bring an action in any court of competent jurisdiction in this state to recover all compensation paid to the unlicensed contractor for performance of any act or contract." Here, as per the plain language in the statute, Plaintiffs properly allege that they utilized the services of an unlicensed contractor and are now suing to recover all compensation paid "for performance of any act or contract." (Complaint, ¶¶ 25, 31-32, 77-81.)

Moreover, Saadeh and Ward are proper parties due to the alter ego allegations (Complaint, ¶¶ 11-16), but the Court does not understand why Country Equestrian is included in this claim. The Complaint does not make this clear.

The Court GRANTS Defendants' motion for judgment on the pleadings as to Plaintiffs' eighth cause of action for Business and Professions Code section 7031(b) recovery, as to Country Equestrian only, with leave to amend.

<u>Tenth Cause of Action on License and Contractor Bonds</u>

The parties agree that this claim is not alleged against any of the named defendants in the Complaint: Saadeh; Ward; Country Equestrian; or Dig This Inc. (Amended Opposition, p. 15; Amended Reply, p. 10.) Therefore, the Court declines to rule on this portion of the Motion.

<u>Ruling</u>

The Court GRANTS Defendants' motion for judgment on the pleadings as to the first cause of action for promissory fraud, as to Dig This, Inc. only, with leave to amend, and as to the eighth cause of action for Business and Professions Code section 7031(b) recovery, as to Country Equestrian only, with leave to amend. The Court DENIES Defendants' motion for judgment on the pleadings as to the remaining causes of action.

Plaintiffs may file and serve an amended complaint within 30 days of notice of entry of this order. (Code of Civ. Proc. § 438 (h)(2).)

3. 9:00 AM CASE NUMBER: C24-02209
CASE NAME: PATRICK MORRISSEY VS. ALBERT SEBILIA
***HEARING ON MOTION IN RE: LEAVE TO FILE SUPPLEMENTAL COMPLAINT**
FILED BY: MORRISSEY, ALEXANDRA
<u>*TENTATIVE RULING:*</u>

Plaintiffs Patrick and Alexandra Morrissey ("Plaintiffs") filed a Motion for Leave to File a Supplemental Complaint on January 14, 2026 ("Motion for Leave"). The Motion for Leave was set for hearing on May 18, 2025.

As part of earlier Case Management Conference (CMC) proceedings, the Court advanced and granted the Motion for Leave. The hearing date was to be vacated. See Order entered January 29, 2026.